

Madhyanchal Vidyut Vitran Nigam Ltd. and Another v. Shri Shoaib Ahmed Khan and Another

High Court of Judicature at Allahabad, Lucknow Bench · Single Judge · 31 March 2026 · WRIT - C No. 1753 of 2022 · **Forum order stayed; limitation not decided; writ remains pending**

HEADNOTE

Where the distribution licensee challenges a Consumer Grievance Redressal Forum direction to replace a September 2020 bill of Rs. 3,60,340.27 — said to revive an unrecovered 2011 bill of Rs. 25,223 with surcharge, interest and other charges — by a modified bill on average meter reading at the tariffs applicable from time to time, without surcharge and with credit for sums already paid, and relies on Section 56(2) of the Electricity Act, 2003 read with Clause 6.15 of the Electricity Supply Code and on *Rahamatullah Khan*, (2020) 4 SCC 650, paragraph 9.2, the writ court does not decide limitation. On 1 April 2022 it records only that, *prima facie*, limitation needs consideration, issues notice, and finds no case for an interim order, making compliance with the Forum's order subject to the writ. On 20 September 2024, with affidavits exchanged and the respondents unrepresented, it stays the operation and effect of the Forum's order of 19 August 2021. On 31 March 2026 it adjourns the writ for six weeks and continues that stay. Section 56(2) and Clause 6.15 are not construed.

FACTUAL SUMMARY

Madhyanchal Vidyut Vitran Nigam Limited challenged, in Writ-C No. 1753 of 2022, the Consumer Grievance Redressal Forum, Lucknow's order of 19 August 2021. A bill of Rs. 25,223 said to have been raised in 2011 against Shri Shoaib Ahmed Khan was never recovered. In September 2020 the licensee issued a bill of Rs. 3,60,340.27. On the consumer's challenge, the Forum directed a modified bill on average meter reading at the tariffs then applicable, without surcharge, and with sums already paid adjusted. The licensee says the 2011 dues went unrecovered because of complicity of certain employees, and that surcharge, interest and other charges were added in 2020.

Counsel invoked Section 56(2) of the Electricity Act, 2003 read with Clause 6.15 of the Electricity Supply Code, and *Rahamatullah Khan*, (2020) 4 SCC 650. On 1 April 2022 the Court issued notice and refused an interim order, making compliance with the Forum's order subject to the writ. On 20 September 2024 it stayed that order. On 31 March 2026 the writ was adjourned for six weeks and the stay continued.

HOLDING-UNITS

HOLDING-UNIT · EA2003::56(2)

Whether a 2011 bill re-raised in 2020 is within limitation under Section 56(2); not decided; Forum order later stayed

QUESTION

Can the licensee, in September 2020, recover with surcharge and interest a bill said to have been issued in 2011 and left unrecovered, on the footing that limitation under Section 56(2) runs from discovery of a mistake?

HOLDING

Not decided. On 1 April 2022 counsel for the licensee relied on Section 56(2) read with Clause 6.15 of the Electricity Supply Code and on *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited v. Rahamatullah Khan*, (2020) 4 SCC 650. The Court recited paragraph 9.2 of that judgment: where a mistake could not have been discovered with reasonable diligence, the starting point of limitation is the date of discovery. It held only that, *prima facie*, the question of limitation needs to be considered, issued notice to respondent no. 1, and found no case for an interim order, directing that any action in compliance with the Forum's order of 19 August 2021 would abide the writ. On 20 September 2024, after counsel again invoked the same judgment for the submission that recovery can be initiated, the Court stayed the operation and effect of the Forum's order till the next date and listed the writ for further hearing. On 31 March 2026 it adjourned the matter for

six weeks and continued that interim order. Section 56(2) was not construed, and recovery was neither allowed nor refused. ¶ [order of 1.4.2022](#); [order of 20.9.2024 paras 4-6](#); [order of 31.3.2026](#)

QUALIFIER

Interlocutory. Writ-C No. 1753 of 2022 remains pending. The stay granted on 20 September 2024 reversed the refusal of interim relief on 1 April 2022, without a finding on limitation.

FLAG Source PDF concatenates seven orders. The 1 April 2022 order (Pankaj Bhatia, J.) is unnumbered. The stay is order of 20 September 2024, paras 4-6 (Alok Mathur, J.). The latest order is 31 March 2026, paras 1-2 (Alok Mathur, J.): list after six weeks; interim order to continue. Coram is that judge. Other sheets, not construing the Act: 29.3.2022 (Pankaj Bhatia, J.; counsel ill; listed 1.4.2022 as fresh), 7.7.2022 (Manish Kumar, J.; two weeks for rejoinder), 11.1.2023 (Abdul Moin, J.; listed for final hearing; synopsis called for), and 30.5.2024 (Subhash Vidyarthi, J.; counsel on sanctioned leave). The 20.9.2024 order says the 1.4.2022 order 'duly considered the arguments' and 'issued noticed'; the 1.4.2022 order in fact only flagged limitation for consideration and issued notice. No order between 20.9.2024 and 31.3.2026 is in this source. Catalog hits other than EA2003::56(2) and UP-2005::6.15 are false positives.

HOLDING-UNIT · UP-2005::6.15

Clause 6.15 invoked with Section 56(2) against the Forum's modified bill; not construed

QUESTION

Does Clause 6.15 of the Electricity Supply Code, read with Section 56(2), authorise the September 2020 bill in place of the Forum's direction for a modified average-reading bill without surcharge?

HOLDING

Not decided. Counsel for the licensee placed reliance on Section 56(2) read with what the order calls Section 6.15 of the Electricity Supply Code, to meet the objection that a bill issued in 2011 could not be recovered in 2020. The Court did not quote or apply Clause 6.15. It recorded that limitation prima facie required consideration and, on 20 September 2024, stayed the Forum's direction to issue a modified bill on average meter reading according to the tariffs applicable from time to time, without surcharge, with amounts already paid adjusted. The clause remains unconstrued. ¶ [order of 1.4.2022](#); [order of 20.9.2024 para 6](#)

QUALIFIER

The year and the title of the Code are not stated. Keyed to the U.P. Electricity Supply Code, 2005 because the petitioner is Madhyanchal Vidyut Vitran Nigam Limited and the Forum is the Consumer Grievance Redressal Forum, Lucknow.

FLAG Counsel said 'Section 6.15', not Clause 6.15(b). Keyed to UP-2005::6.15. Sub-clause 6.15(b) is not cited and is not used as the provision. The Forum's average-reading, no-surcharge direction is not tied to any numbered clause in the order.

PRINCIPLE TAGS

two-year-limitation-recovery-of-electricity-arrears The question raised, and left open, is whether a bill said to have been issued in 2011 for Rs. 25,223 can be recovered in September 2020 at Rs. 3,60,340.27. The Court held only that limitation prima facie needs consideration. It did not apply or refuse the two-year bar. Lead authorities: *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited v. Rahamatullah Khan alias Rahamujlla*. ¶ [order of 1.4.2022](#)

supplementary-demand-for-bona-fide-mistake-not-barred-by-s56-2 Counsel relied on *Rahamatullah Khan*, (2020) 4 SCC 650, paragraph 9.2, as recited by the Court: where a mistake could not have been discovered with reasonable diligence, limitation starts on discovery. The licensee attributes non-recovery to complicity of employees. The Court did not find a mistake, did not treat the 2020 bill as a supplementary demand outside the bar, and did not decide the point. Lead authorities: *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited v. Rahamatullah Khan alias Rahamujlla*. ¶ [order of 1.4.2022](#); [order of 20.9.2024 para 4](#)

writ-stay-of-cgrf-order-at-instance-of-licensee On the licensee's writ, interim relief was refused on 1 April 2022. On 20 September 2024 the Court stayed the operation and effect of the Consumer Grievance Redressal Forum, Lucknow's order of 19 August 2021, and on 31 March 2026 continued that stay. The Forum's direction was not quashed. ¶ [order of 1.4.2022](#); [order of 20.9.2024 para 6](#); [order of 31.3.2026](#)

procedural-listing-no-construction After notice, time for a rejoinder, a direction to file a synopsis, and adjournments for counsel's illness and leave, the writ was stayed in part and on 31 March 2026 was adjourned for six weeks with

the interim order to continue. Section 56(2) and Clause 6.15 remain unadjudicated.

¶ order of 29.3.2022; order of 31.3.2026

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE SEPTEMBER 2020 BILL OF RS. 3,60,340.27, SAID TO REVIVE AN UNRECOVERED 2011 BILL OF RS. 25,223, IS BARRED BY LIMITATION UNDER SECTION 56(2) OF THE ELECTRICITY ACT, 2003 AND CLAUSE 6.15 OF THE ELECTRICITY SUPPLY CODE

Raised by the Court as a question that prima facie needs consideration. Notice was issued. The section and the clause were not construed, and the demand was neither upheld nor set aside. ¶ order of 1.4.2022

NOT DECIDED — WHETHER NON-RECOVERY ATTRIBUTED TO COMPLICITY OF THE LICENSEE'S EMPLOYEES IS A MISTAKE WHICH COULD NOT HAVE BEEN DISCOVERED WITH REASONABLE DILIGENCE, SO THAT LIMITATION RUNS FROM DISCOVERY AS RECITED FROM RAHAMATULLAH KHAN, PARAGRAPH 9.2

The Court recited that proposition and recorded the licensee's factual case. It made no finding of complicity, of reasonable diligence, or of the date of discovery. Counsel's later submission that recovery can be initiated was not accepted as a decision. ¶ order of 1.4.2022; order of 20.9.2024 para 4

NOT DECIDED — WHETHER THE FORUM WAS RIGHT TO DIRECT A MODIFIED BILL ON AVERAGE METER READING AT THE TARIFFS APPLICABLE FROM TIME TO TIME, WITHOUT SURCHARGE, AND WITH ADJUSTMENT OF AMOUNTS ALREADY PAID

That is the order under challenge. Its operation was stayed on 20 September 2024 and the stay was continued on 31 March 2026. The direction was not quashed or affirmed. ¶ order of 1.4.2022; order of 20.9.2024 para 6; order of 31.3.2026

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited and Anr. v. Rahamatullah Khan alias Rahamujlla</i> (2020) 4 SCC 650 Supreme Court of India	As recited from paragraph 9.2: where a mistake could not have been discovered with the exercise of reasonable diligence, the starting point of limitation is the date on which the mistake was discovered.		Petitioner	Referred

SCJ-3276 · Madhyanchal Vidyut Vitran Nigam Ltd. and Another v. Shri Shoaib Ahmed Khan and Another · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.